Fed Chair Kevin Warsh acknowledged that progress is being made, but inflation remains too high and a December FOMC rate hike remains our call



**James Knightley, Padhraic Garvey, CFA and Chris Turner**


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target rate range at 3.75%-4%. Only 2bp of a potential 25bp hike was priced ahead of the decision and only 6 of 97 organisations polled by Bloomberg predicted a hike, so this was no surprise and market reaction has been limited.

Senior Fed officials, including Vice Chairs Philip Jefferson and Michelle Bowman and Governor Chris Waller, suggested ahead of the decision that they were prepared to move cautiously, seeing little need for back-to-back rate hikes after September's policy change. Nonetheless, Beth Hammack and Lisa Cook both felt that the current situation warranted additional action. Cook's vote for a

hike was a surprise given the general sense that she was a centrist, and it will do nothing to improve her fraught relationship with President Trump. Instead, we had suspected it would be one or both of Neel Kashkari and Lorrie Logan (who both also dissented in July) that would join Hammack in voting in favour of a further rate hike.

There aren't many changes in the accompanying press release, with the economy described as "expanding at a strong pace" and "inflation remains elevated". There was no pre-commitment to further action, with it being the data that "will help the Committee determine the policy stance appropriate to ensure a timely return of inflation to the Committee's 2 percent goal."


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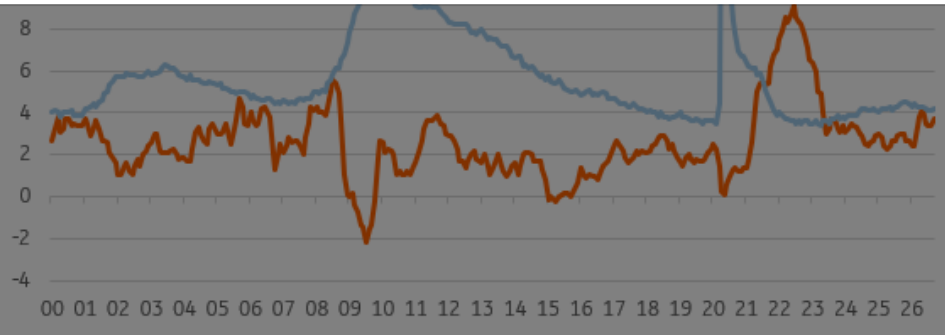
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Source: Macrobond, ING

## December rate hike remains the most likely path

There is the valid question that, given a majority of FOMC members project a rate hike before the end of the year, why didn't they take that decision today? Kevin Warsh's response was that he himself didn't make a prediction and, in any case, they removed some policy accommodation in September. Inflation is "going the right way" and he is encouraged by the progress made.

We will have two jobs reports and one inflation print ahead of the December decision. The November CPI will be released the day after the Fed meeting, and officials will almost certainly get to see it. As such, they will have more information than the market does, meaning a surprise can't be completely ruled out. For now, a D
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more disinflation, we believe overall US inflation can fall back to 2% in the second half of 2027.

Hence, we subsequently anticipate a prolonged pause through to December 2027, when we have that December 2026 hike being reversed. This is in line with the current consensus forecast, while the Fed's own projections (its central forecast) see one hike this year with rates left unchanged throughout 2027.

## The lean hawkish is enough to validate the break back above 5% for the 10yr


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Hardly a word in the short statement that is not leaning hawkish. But no hike. Prior to the FOMC meeting, it was remarkable how the 10yr yield had been clinging to the 4.99% level. It was like a comfort level; technically below 5%, but not too far below in case it needs to turn tail and shoot back up again. It seemed that the US 10yr was waiting to tick off this outcome before deviating too much from 5%. Well, it's now had the outcome. The initial reaction was up. But the reaction to Chair Warsh's words at the press conference was to revert down to 5%, and briefly below. This can be rationalised by Warsh's comforting words on inflation expectations, which he deemed to have been tamed somewhat.


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likely still some way from the Fed spelling out a plan to shrink its balance sheet, which we know remains a policy objective for Chair Warsh. We expect recommendations from the various committees to surface closer to the turn of the year. Meanwhile, liquidity conditions are stable, with repo behaving far better than it did a year ago.

## Dollar softens a touch

Perhaps it was a belated acknowledgement that there would not be forward guidance on a December rate hike, but the lack of clarity

there seemed to weigh on short-dated rates and the dollar. Chair Warsh actually sounded a little uncomfortable when a reporter asked whether the current policy setting was sufficient for the Fed to hit its goals.

The dollar reaction – a slight softening – probably owed to positioning. Here the consistent run higher in energy prices over recent months, solid US activity and French budget woes have largely seen one-way traffic in the dollar since early September.

However, the overall tone of the press conference, strong and broadening US growth and above-target inflation, suggests the d

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